

SYLLABUS FOR THE 2026 BAR EXAMINATIONS

COMMERCIAL AND TAXATION LAWS (20%)

NOTE: Only laws, rules, issuances, and jurisprudence pertinent to these topics as of **June 30, 2025** shall be considered examinable materials within the coverage of the 2026 Bar Examinations.

I. BUSINESS ORGANIZATIONS

A. Corporations – R.A. No. 11232

1. Definition of Corporation
2. Classes of Corporations
3. Nationality of Corporations
 - a. Control Test
 - b. Grandfather Rule
4. Juridical Personality
 - a. Doctrine of Piercing the Corporate Veil
5. Capital Structure
 - a. Number and Qualifications of Incorporators
 - b. Subscription Requirements
 - c. Corporate Term
 - d. Classification of Shares
6. Incorporation and Organization
 - a. Promoters
 - i. Liability
 - ii. Liability of Corporation for Promoters' Contracts
 - b. Subscription Contract
 - c. Pre-incorporation Subscription Agreements
 - d. Consideration for Stocks
 - e. Articles of Incorporation
 - f. Classification of Shares
 - g. Corporate Name and Limitations on its Use
 - h. Registration, Incorporation, and Commencement of Corporate Existence
 - i. *De Facto* Corporation
 - ii. Corporation by Estoppel
 - iii. Election of Directors or Trustees
 - i. By-laws
 - j. Effects of Non-use of Corporate Charter
7. Corporate Powers
8. Stockholders and Members
 - a. Doctrine of Equality of Shares
 - b. Fundamental Rights of a Stockholder
 - c. Participation in Management; Voting Requirements

- d. Stockholder's Rights
- e. Stockholder Suits
- f. Meetings
- 9. Directors and Trustees
 - a. Repository of Corporate Powers
 - b. Tenure, Qualifications, and Disqualifications
 - c. Independent Directors
 - d. Election, Removal, and Filling of Vacancies
 - e. Compensation
 - f. Disloyalty
 - g. Business Judgment Rule
 - h. Liabilities and Responsibilities
 - i. Special Fact Doctrine; Inside Information
 - j. Directors Self-dealing with the Corporation
 - k. Dealings between Corporations with Interlocking Directors
- 10. Capital Affairs
 - a. Certificate of Stock
 - b. Watered Stocks
 - i. Definition
 - ii. Liability of Directors
 - iii. Trust Fund Doctrine
 - c. Payment of Balance of Subscription
 - d. Sale of Delinquent Shares
 - e. Transfer of Shares
 - f. Corporate Books and Records
 - g. Securities – R.A. No. 8799
 - i. Regulatory Framework – Secs. 8-10
 - ii. Definition of Security; Howey Test – Sec. 3
 - iii. Registration of Securities
 - (a) Exempt Securities
 - (b) Exempt Transactions
- 11. Merger, Consolidation, and Acquisition – relate to R.A. No. 10667
 - a. Concept – Sec. 4
 - i. Asset-only and Business Enterprise Transfers
 - b. Review – Sec. 16
 - i. Compulsory Notification – Secs. 17-19
 - ii. Prohibited Mergers and Acquisitions – Secs. 20-22
 - c. Effects
- 12. Corporate Dissolution and Liquidation
- 13. Foreign Corporations
 - a. Suability and Personality to Sue
 - b. Foreign Investments – R.A. No. 7042, as amended by R.A. No. 8179 and R.A. No. 11647
 - i. Doing Business in the Philippines
 - ii. Definition of Foreign Investment
 - iii. Registration Requirement

iv. Nationalized Activities and the Negative List

14. Special Corporations

- a. Close Corporations
- b. Non-stock Corporations
- c. Educational Corporations
- d. Religious Corporations
- e. One Person Corporations
 - i. Excepted Corporations
 - ii. Capital Stock Requirement
 - iii. Articles of Incorporation and By-laws
 - iv. Corporate Name
 - v. Corporate Structure and Officers
 - vi. Nominee
 - vii. Liability
 - viii. Conversion of Corporation

B. Partnerships

- 1. General Provisions
 - a. Definition and Separate Juridical Personality
 - b. Rules to Determine Existence
 - c. Separate Juridical Personality
 - d. Partnership by Estoppel
 - e. Kinds of Partnership
- 2. Obligations of Partners among Themselves
- 3. Property Rights of Partners
- 4. Obligations of Partnership; Obligations of Partners to Third Persons
- 5. Dissolution and Winding Up

II. INSURANCE

Presidential Decree [P.D.] No. 612, as amended by R.A. No. 10607

- A. Concept of Insurance
- B. Insurable Interest
- C. Concealment
- D. Representation
- E. Policy
- F. Warranties
- G. Premium
- H. Loss
- I. Notice and Proof of Loss
- J. Double Insurance and Overinsurance
- K. Reinsurance
- L. Rescission of Insurance Contracts

III. TRANSPORTATION

- A. Common Carriers
 - 1. Common Carrier v. Private Carrier
 - 2. Diligence Required
 - 3. Transport Network Services
 - 4. Defenses Available to a Common Carrier
- B. Vigilance over Goods
 - 1. Under the Civil Code
 - 2. Under the Montreal Convention
 - 3. Under the Carriage of Goods by Sea Act
- C. Safety of Passengers
 - 1. Under the Civil Code
 - 2. Under the Montreal Convention
 - 3. Under the Carriage of Goods by Sea Act

IV. BANKING

- A. Secrecy of Bank Deposits – R.A. No. 1405 and R.A. No. 6426, as amended
 - 1. Purpose
 - 2. Prohibited Acts
 - 3. Coverage and Exceptions
 - 4. Garnishment of Deposits, including Foreign Deposits
- B. General Banking Law – R.A. No. 8791
 - 1. Definition and Classification of Banks
 - 2. Distinction among Banks, Quasi-banks, and Trust Entities
 - 3. Nature of Bank Funds and Bank Deposits
 - 4. Diligence Required of Banks
 - 5. Prohibited Transactions by Bank Directors, Officers, and Employees
 - 6. Stipulation on Interest
- C. Deposit Insurance – R.A. No. 3591, as amended by R.A. No. 11840
 - 1. Definition of Insured Deposit
 - 2. Deposit Insurance Coverage
 - 3. Splitting of Deposits
- D. Anti-Money Laundering – R.A. No. 9160, as amended by R.A. No. 9194, R.A. No. 10167, R.A. No. 10365, R.A. No. 10927, and R.A. No. 11521
 - 1. Policy
 - 2. Covered Institutions and their Obligations
 - 3. Covered Transactions
 - 4. Suspicious Transactions
 - 5. Safe Harbor Provision
 - 6. Money Laundering
 - a. How Committed
 - b. Predicate Crimes or Unlawful Activity
 - 7. Authority to Inquire, Freezing, and Forfeiture

E. The Central Bank – R.A. No. 7653, as amended by R.A. No. 11211

1. State Policies
2. Powers and Functions of the Monetary Board
3. Banks in Distress
 - a. Conservatorship
 - b. Closure
 - c. Receivership
 - d. Liquidation

V. INTELLECTUAL PROPERTY

R.A. No. 8293, as amended by
R.A. No. 9150, R.A. No. 9502, and R.A. No. 10372

A. Patents

1. Patentable v. Non-patentable Inventions
2. Ownership of a Patent
3. Rights Conferred
4. Limitations
5. Infringement
6. Cancellation
7. True and Actual Inventor's Remedy
8. Licensing
9. Assignment and Transmission of Rights

B. Trademarks

1. Marks v. Collective Marks v. Trade Names
2. Acquisition of Ownership
3. Non-registrable Marks
4. Ownership, Registration, and Duration
5. Confusing Similarity
6. Well-known Marks
7. Rights Conferred by Registration
8. Infringement
9. Unfair Competition
10. Cancellation

C. Copyright

1. Basic Principles – Secs. 172.2, 175, and 181
2. Copyrightable Works
3. Non-copyrightable Works
4. Rights Conferred by Copyright
5. Ownership of a Copyright
6. Limitations on Copyright
7. Fair Use
8. Copyright Infringement

VI. SPECIAL COMMERCIAL LAWS

- A. R.A. No. 10142 (Financial Rehabilitation and Insolvency Act)
 - 1. Definition of Insolvent
 - 2. Rehabilitation
 - a. Key Concepts
 - b. Effects of Commencement Order and Exceptions
 - c. Cram Down Effect
 - 3. Liquidation and Effects of Liquidation Order
 - 4. Suspension of Payments
- B. R.A. No. 8792 (Electronic Commerce Act)
 - 1. Legal Recognition of Electronic Data Messages, Documents, and Signatures – Secs. 6-11
 - 2. Lawful Access and Obligation of Confidentiality – Sec. 32
- C. Commonwealth Act No. 146, as amended by R.A. No. 11659 (Public Service Act)
 - 1. Critical Infrastructure – R.A. No. 11659, Sec. 2(e)
 - 2. Foreign State-owned Enterprise – R.A. No. 11659, Sec. 2(g)
 - 3. Public Service as Public Utility – R.A. No. 11659, Sec. 4
 - 4. Unlawful Acts – R.A. No. 11659, Sec. 9
 - 5. Suspensive and Prohibitory Powers of the President – R.A. No. 11659, Sec. 23
 - 6. Investments by an Entity Controlled by or Acting on Behalf of a Foreign Government, or Foreign State-Owned Enterprises – R.A. No. 11659, Sec. 24
 - 7. Reciprocity Clause – R.A. No. 11659, Sec. 25
- D. R.A. No. 10667 (Philippine Competition Act)
 - 1. Definitions and Scope of Application – Sec. 4
 - 2. Prohibited Acts
 - a. Anti-competitive Agreements – Sec. 14
 - i. *Per Se* Violations
 - ii. Not *Per Se* Violations
 - b. Abuse of Dominant Position – Sec. 15
 - 3. Determining the Relevant Market – Secs. 4(k) and 24
 - 4. Determining Control or Dominance of Market – Secs. 25 and 27
 - 5. Determining Existence of Anti-competitive Conduct – Sec. 26

VIII. TAXATION LAW

- A. General Principles
 - 1. Concept and Definition of Taxation
 - 2. Inherent and Constitutional Limitations of Taxation
 - 3. Requisites of a Valid Tax
 - 4. Lifeblood Doctrine; Manifestations; Prohibition on Compensation and Set-off, Impact, and Effect

5. Authority of Congress, Secretary of Finance, and Commissioner of Internal Revenue (CIR)
6. Construction and Interpretation of Tax Laws, Rules, and Regulations
7. Double Taxation
8. Escape from Taxation
9. Tax Exemption
10. Compromise and Tax Amnesty
11. Taxpayer's Suit: Rationale and Requisites
- B. National Taxation – National Internal Revenue Code of 1997 [NIRC], as amended
 1. Jurisdiction, Powers, and Functions of the Bureau of Internal Revenue
 2. Income Tax
 - a. Nature and General Principles
 - i. Criteria in Imposing Philippine Income Tax
 - ii. Kinds of Taxpayers
 - b. Income
 - i. Definition
 - ii. Realization and Recognition
 - iii. Taxability
 - iv. Sources
 - (a) Compensation Income
 - (b) Professional Income
 - (c) Income from Business
 - (1) Active v. Passive Income
 - (d) Income from Dealings in Property
 - (1) Capital v. Ordinary Asset
 - (e) Situs of Income Taxation
 - (f) Gross Income v. Net Income v. Taxable Income
 - (1) Tax Deductions v. Tax Credits
 - (2) Optional Standard Deduction
 - (g) Withholding Taxes
 - (1) Rationale
 - (2) Creditable v. Withholding Taxes
 - (3) Duties of a Withholding Agent
 3. Value-Added Tax (VAT)
 - a. Concept
 - b. Elements of Transaction Subject to VAT
 - c. Impact and Incidence of Tax
 - d. Destination Principle; Cross-Border Doctrine
 - e. Transactions Deemed Sale Subject to VAT
 - f. Zero-rated Transactions
 - g. VAT Exempt Persons v. VAT Exempt Transactions
 - h. Input and Output Tax
 - i. Tax Refund or Tax Credit
 4. Estate Tax (Basic Principles and Concepts only)
 5. Donor's Tax (Basic Principles and Concepts only)

6. Tax Remedies under the NIRC

- a. General Concepts
 - i. Tax Deficiency v. Tax Delinquency
 - ii. Tax Evasion
- b. Civil Penalties
 - i. Deficiency Interest and Delinquency Interest
 - ii. Surcharge
 - iii. Compromise Penalty
- c. Assessment Process
 - i. Letter of Authority
 - ii. Submission of Supporting Documents by Taxpayer
 - iii. Notice of Discrepancy
 - iv. Issuance of Preliminary Assessment Notice
 - v. Issuance of Formal Letter of Demand or Final Assessment Notice
 - (a) Prescriptive Period for Assessment
 - (1) False Return v. Fraudulent Return v. Non-filing
 - (b) Suspension of the Running of Statute of Limitations
- d. Collection Process
 - i. Requisites
 - ii. Prescriptive Periods
- e. Taxpayers' Remedies
 - i. Protesting an Assessment
 - (a) Period to File Protest
 - (b) Effect of Failure to File Protest
 - ii. Submission of Supporting Documents by Taxpayer
 - iii. Decision of the Commissioner on the Protest
 - (a) Period to Act Upon or Decide
 - (b) Remedies in Case of CIR's Denial or Failure to Act
 - (c) Effect of Failure to Appeal
 - iv. Compromise and Abatement of Taxes
 - v. Recovery of Tax Erroneously or Illegally Collected
 - (a) Grounds, Requisites, and Period for Filing a Claim for Refund or Issuance of a Tax Credit Certificate
 - (b) Proper Party to File Claim for Refund or Tax Credit
- f. Government Remedies
 - i. Administrative Remedies
 - (a) Tax Lien
 - (b) Distrainment and Levy
 - (c) Forfeiture of Real Property
 - (d) Suspension of Business Operation
 - ii. Judicial Remedies
 - (a) Civil Action
 - (b) Criminal Action

C. Local Taxation – R.A. No. 7160

1. General Principles – Secs. 130 and 132

2. Common Limitations on the Taxing Powers of Local Government Units – Sec. 133
3. Validity of Local Tax Ordinance – Sec. 187
4. Assessment and Collection of Local Taxes – Sec. 194
 - a. Remedies of Local Government Units
 - b. Prescriptive Period
 - c. Injunction
5. Taxpayers' Remedies
 - a. Protest – Sec. 195
 - b. Refund or Credit – Sec. 196
 - c. Court Action
6. Local Taxes
 - a. Professional Tax – Sec. 139
 - b. Local Business Tax – Secs. 143, 145, and 146
 - c. Community Tax – Secs. 157-160
 - d. Real Property Taxation (Book II, Title II)
 - i. Fundamental Principles; Nature; Power to Levy
 - ii. Exemption from Real Property Tax – Sec. 234
 - iii. Appraisal and Assessment
 - iv. Collection
 - v. Taxpayers' Remedies
 - (a) Against Assessment
 - (1) Payment Under Protest; Exceptions
 - (2) Compromise of Assessment
 - (b) Against Valuation of Property
 - (1) Appeal to the Local Board of Assessment Appeals
 - (2) Appeal to the Central Board of Assessment Appeals
 - (3) Effect of Payment of Taxes

D. Judicial Remedies

1. Court of Tax Appeals (CTA)
 - a. Exclusive Original and Appellate Jurisdiction Over Civil Cases
 - b. Exclusive Original and Appellate Jurisdiction Over Criminal Cases
2. Procedures
 - a. Action for Collection of Taxes
 - i. National Taxes
 - ii. Local Taxes
 - b. Civil Cases
 - i. Who May Appeal, Mode of Appeal, and Effect of Appeal
 - ii. Suspension of Collection of Taxes
 - iii. Injunction Not Available to Restrain Tax Collection
 - c. Criminal Cases
 - i. Institution and Prosecution of Criminal Action
 - ii. Institution of Civil Action in Criminal Action
 - ii. Period to Appeal

- d. Appeal to the CTA *En Banc*
- e. Petition for Review on *Certiorari* to the Supreme Court

— **NOTHING FOLLOWS** —